

The standard of *reasonable completeness* for annual reports, suggested above, by no means includes all the information which might be vouchsafed to shareholders. The reports of United States Steel Corporation may be taken as a model of comprehensiveness. The data there supplied embrace, in addition to our standard requirements, the following items:

1. Production and sales in units. Rate of capacity operated.
2. Division of sales as between:
 - Domestic and foreign.
 - Intercompany and outsiders.
3. Details of operating expenses:
 - Wages, wage rates, and number of employees.
 - State and local taxes paid.
 - Selling and general expense.
 - Maintenance expenditures, amount and details.
4. Details of capital expenditures during the year.
5. Details of inventories.
6. Details of properties owned.
7. Number of stockholders.

The Balance Sheet. The form of the balance sheet is better standardized than the income account, and it does not offer such frequent grounds for criticism. Formerly a widespread defect of balance sheets was the failure to separate intangible from tangible fixed assets, but this is now quite rare in the case of listed issues. (Among the companies that since 1935 have disclosed the amount of good-will formerly included in their property accounts are American Steel Foundries, American Can, Harbison

decision had been reached with respect to the other seven (American Sumatra Tobacco, Bon Ami, Collins & Aikman, Mathieson Alkali, Mesta Machine, Sheaffer Pen, United Engineering and Foundry), as late as December 1939.

Various issues, *e.g.*, Trico Products Corporation, failed to register and were dropped from listing, presumably because of their unwillingness to supply sales figures. The withdrawal of Marlin Rockwell Corporation from listing in 1938 may be ascribed to the same reason. The stock exchanges have favored an amendment to the law requiring full disclosure in the case of over-the-counter issues, to remove what they regard as an unfair advantage.

Many companies still provide their stockholders in their annual reports with much less information than they file with the S.E.C. The Standard Statistics *Corporation Records Service*, however, regularly publishes the S.E.C. figures as supplementary data.